

on budgeting, you do not want your housing costs to be more than 30% of your take-home pay. The same rule applies when you buy a home, and higher payments can easily leave you house poor.

- **You do not already have an emergency fund.** You learned this in the budgeting chapter as well. Life is unpredictable, and you always need to have an emergency fund, especially if you own a home. A new roof, plumbing problems, or other issues could easily cost \$20,000 or more.
- **You plan to live in the house for less than five years.** While houses do typically increase in value, the shorter the length of time you own the house, the less likely this is to happen. And once you factor in all of the costs that come with buying a home, selling too quickly will eat into your profits.

Mortgages and Unexpected Costs

Homebuying can be daunting, but this section will provide you with the basics of what to expect financially, so you are not taken by surprise when it comes time for you to buy your first home. Let's say there is a home you are interested in that costs \$500,000. Unless you are a total baller and have \$500,000 at your quick disposal, you are going to need to finance this purchase. As noted in the previous section, the general rule of thumb is that your down payment should be at least 20% of the home price, which in this example would be \$100,000. This means you would need to put down \$100,000 and then get a \$400,000 mortgage from a bank or other lender.